

else's pasture I'm not sure.

Perhaps a winning investment seems so unlikely in the first place that people can best imagine it happening as far away as possible, somewhere off in the Great Beyond, just as we all imagine that perfect behavior takes place in heaven and not on earth. Therefore the doctor who understands the ethical drug business inside out is more comfortable investing in Schlumberger, an oil-service company about which he knows nothing; while the managers of Schlumberger are likely to own Johnson & Johnson or American Home Products.

True, true. You don't necessarily have to know anything about a company for its stock to go up. But the important point is that (1) the oil experts, on average, are in a better position than doctors to decide when to buy or to sell Schlumberger; and (2) the doctors, on average, know better than oil experts when to invest in a successful drug. The person with the edge is always in a position to outguess the person without an edge—who after all will be the last to learn of important changes in a given industry.